

Finance Chatbot Credibility Test

20 Questions to Verify AI Accuracy Against [finance_guide_2024.pdf](#)

Upload [finance_guide_2024.pdf](#) to DocuVault, then ask the chatbot each question below.

Compare chatbot answers to the expected answers provided here.

Q1. What is the 50/30/20 budgeting rule?

Answer: 50% of income for needs, 30% for wants, and 20% for savings or debt repayment.

Tests: Section 2 - Personal Finance Fundamentals

Q2. How many months of expenses should an emergency fund cover?

Answer: 3 to 6 months of living expenses.

Tests: Section 2 - Emergency Fund

Q3. What is the formula for calculating Net Worth?

Answer: $\text{Net Worth} = \text{Total Assets} - \text{Total Liabilities}$.

Tests: Section 2 - Net Worth Formula

Q4. In the example given, assets are Rs.45L and liabilities are Rs.18L. What is the net worth?

Answer: Rs.27 lakh ($\text{Rs.45L} - \text{Rs.18L}$).

Tests: Numerical reasoning from Section 2

Q5. What is the approximate average annual Sensex return mentioned?

Answer: Approximately 12% per annum over the long term.

Tests: Section 3 - Equity / Stocks

Q6. What is the typical FD interest rate range?

Answer: 6.5% to 7.5% per annum.

Tests: Section 3 - Fixed Deposits

Q7. What is the minimum SIP amount for mutual funds?

Answer: Rs.500 per month.

Tests: Section 3 - Mutual Funds via SIP

Q8. What is the interest rate for PPF and its lock-in period?

Answer: 7.1% per annum, tax-free, with a 15-year lock-in period.

Tests: Section 3 - PPF

Q9. What is a healthy Debt-to-Equity ratio for a company?

Answer: 1:1 to 2:1.

Tests: Section 4 - Capital Structure

Q10. What is the Working Capital formula?

Answer: $\text{Working Capital} = \text{Current Assets} - \text{Current Liabilities}$.

Tests: Section 4 - Corporate Finance

Q11. Under the new tax regime, what is the tax rate for income between Rs.7L and Rs.10L?

Answer: 10%.

Tests: Section 5 - Tax Slabs (exact slab lookup)

Q12. What is the Section 80C deduction limit per year?

Answer: Rs.1.5 lakh per financial year.

Tests: Section 5 - Key Deductions

Q13. What is the LTCG tax rate on equity, and what holding period qualifies?

Answer: 10% on gains above Rs.1 lakh, for holdings of more than 1 year.

Tests: Section 5 - LTCG

Q14. What is the STCG tax rate on equity?

Answer: 15% flat rate for equity held less than 1 year.

Tests: Section 5 - STCG

Q15. How much life insurance coverage is recommended relative to income?

Answer: 10 to 15 times the annual income as a pure term plan.

Tests: Section 6 - Risk Management

Q16. What is the RBI repo rate as of 2024?

Answer: 6.5%.

Tests: Section 8 - Glossary

Q17. What is the RBI CPI inflation target?

Answer: 4% with a tolerance band of plus or minus 2%.

Tests: Section 8 - Glossary

Q18. What is the 4% withdrawal rule used for?

Answer: Estimating retirement corpus needed. Target = 25 times annual expenses.

Tests: Section 7 - Retirement Planning

Q19. What is the minimum recommended health insurance coverage?

Answer: Minimum Rs.5 lakh individual coverage.

Tests: Section 6 - Insurance

Q20. What does CAGR stand for and what is it used for?

Answer: Compound Annual Growth Rate. Used to measure the annualised rate of return on an investment over time.

Tests: Section 8 - Glossary